WELLS FARGO
INVESTMENT INSTITUTE

Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

June 28, 2017

Scott Wren
Senior Global Equity Strategist

Last Week's S&P 500 Index:
+0.2%

Key Takeaways

» *While we are calling for a modest fade in the S&P 500 in the second half of the year, we do not believe the cycle is over. Our preliminary work suggests the index will be higher at year end 2018 than current levels.*

» *We expect the modest growth/modest inflation environment to continue. Our recommendation is to stay invested.*

The Word of the Month is *Reiterate*

In September of last year, the Equity Strategy group released our 2017 year-end target range for the S&P 500 Index. Historically, we typically released our target for the coming year in either late November or early December. Yes, we realize that coming up with an accurate target for any of the major indices 15 or 16 months in advance is a challenge. To be honest, it sometimes does not feel much easier to project a year-end target that is only 12 or 13 months in advance. But that is part of what being an equity strategist is all about. Doing thorough analysis that gets us to an ultimately correct target is what we strive to do every year.

Last year, we decided to try and put a projection together a bit earlier than normal. We also have made the decision to go with the earlier release date for the year-end 2018 target. Given the long lead time, we wanted to regularly review our outlook and remind our regular readers of where we stand and why. So let's use the rest of our allotted text this week to do just that.

Our S&P 500 Index target range for the end of this year has been and remains 2,230 to 2,330. As we stated when the target was released, our analysis suggested that the high for the index in 2017 would likely come in the middle portion of the year (May, June, or July). Our work suggested the high would be at or not far above the top end of our year-end target range. So, here we are nine months later, and at the time of this writing, the index is currently trading at 2,440. In other words, we are spending time not far above the top end of our year-end target range. Looking at the calendar, the S&P 500 Index has been trading modestly above our target range since the middle of February.

We continue to believe the index will fade modestly in the second half of the year based on four primary headwinds. First, valuations, in our opinion, are stretched. The median 20-year price/earnings ratio for the S&P 500 Index is 16.4x. Currently, based on our estimate for this year ($127), the index is trading at 19.2x. Second, Federal Reserve rate-hike cycles are typically a headwind for valuation multiples. Third, we believe investors will become concerned that potential wage pressures in 2018 will negatively affect corporate margins in this low-productivity-growth environment. And finally, we think that lack of fiscal progress in Washington, D.C., will begin to cast some doubt that the current expansion can be extended much beyond 2018. Remember, if time is your only criteria, this expansion is long in the tooth.

The question we have been getting lately is "What about 2018—where will the S&P 500 Index finish the year?" Note that December 31, 2018, is more than 18 months away at this point. While we will not publish our official year-end target until September, our preliminary work is suggesting that at the end of next year, the S&P 500 Index will be trading higher than current levels. We are not calling for the cycle to come to an end. Will the index be tremendously above current levels? Probably not. But we think it will be higher. There we go—outlook reiterated. Stay invested.

Investment and Insurance Products: ▶ NOT FDIC Insured ▶ NO Bank Guarantee ▶ MAY Lose Value

© 2017 Wells Fargo Investment Institute. All rights reserved.

Risks Considerations

All investing involves risks including the possible loss of principal. Equity securities are subject to market risk which means their value may fluctuate in response to general economic and market conditions and the perception of individual issuers. Investments in equity securities are generally more volatile than other types of securities.

There is no assurance that any of the target prices or other forward-looking statements mentioned will be attained. Any market prices are only indications of market values and are subject to change.

An index is unmanaged and not available for direct investment.

General Disclosures

Global Investment Strategy (GIS) is a division of Wells Fargo Investment Institute, Inc. (WFII). WFII is a registered investment adviser and wholly-owned subsidiary of Wells Fargo & Company.

The information in this report was prepared by Global Investment Strategy. Opinions represent GIS' opinion as of the date of this report and are for general information purposes only and are not intended to predict or guarantee the future performance of any individual security, market sector or the markets generally. GIS does not undertake to advise you of any change in its opinions or the information contained in this report. Wells Fargo & Company affiliates may issue reports or have opinions that are inconsistent with, and reach different conclusions from, this report.

The information contained herein constitutes general information and is not directed to, designed for, or individually tailored to, any particular investor or potential investor. This report is not intended to be a client-specific suitability analysis or recommendation, an offer to participate in any investment, or a recommendation to buy, hold or sell securities. Do not use this report as the sole basis for investment decisions. Do not select an asset class or investment product based on performance alone. Consider all relevant information, including your existing portfolio, investment objectives, risk tolerance, liquidity needs and investment time horizon.

Wells Fargo Advisors is registered with the U.S. Securities and Exchange Commission and the Financial Industry Regulatory Authority, but is not licensed or registered with any financial services regulatory authority outside of the U.S. Non-U.S. residents who maintain U.S.-based financial services account(s) with Wells Fargo Advisors may not be afforded certain protections conferred by legislation and regulations in their country of residence in respect of any investments, investment transactions or communications made with Wells Fargo Advisors.

Wells Fargo Advisors is a trade name used by Wells Fargo Clearing Services, LLC and Wells Fargo Advisors Financial Network, LLC, Members SIPC, separate registered broker-dealers and non-bank affiliates of Wells Fargo & Company. CAR 0617-04818

© 2017 Wells Fargo Investment Institute. All rights reserved.